

MODEL TEST PAPER 6

PAPER 6B: STRATEGIC MANAGEMENT

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises case scenario based multiple choice questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*

PART I – Case scenario based MCQs (15 Marks)

Question 1. (A) (Compulsory)

1. (A) EcoForge, a startup specializing in eco-friendly building materials crafted from agricultural waste, entered the highly competitive manufacturing industry with a vision of promoting sustainability. Despite its innovative approach, the company faced significant challenges as a new entrant, including high production costs, limited market visibility, regulatory hurdles, and fierce competition from established players. However, through strategic planning and effective execution, EcoForge successfully navigated these obstacles and positioned itself for sustainable growth.

The company's leadership recognized the importance of understanding its internal strengths and weaknesses, along with external opportunities and threats. This analysis revealed EcoForge's core advantage in sustainability and innovation, contrasted with scalability issues and market pressure from cheaper alternatives. Additionally, market analysis uncovered the potential of urban housing projects as an opportunity, while intense competition posed a significant threat.

EcoForge's leadership focused on creating unique value propositions by emphasizing its eco-friendly materials. This differentiation helped the company appeal to environmentally conscious builders and developers. To expand its market reach, EcoForge adopted strategies to deepen its presence in existing markets and explore new ones. Concurrently, it analyzed the industry landscape and identified the critical influence of regulatory policies and socio-cultural factors shaping consumer preferences.

Internally, EcoForge implemented structural and cultural changes to enhance its operational efficiency and responsiveness. By adopting a Strategic Business Unit (SBU) model, the company streamlined its decision-making process, allowing each product line to adapt quickly to market demands.

Recognizing the need for collaborative leadership, EcoForge's CEO, Ms. Aarti Mehra, invested in leadership training programs for senior managers. This shifted the company's culture from hierarchical to team-driven, encouraging innovation and cross-functional collaboration.

To enhance its competitiveness, EcoForge optimized its production and supply chain processes by addressing inefficiencies and partnering with technology providers. These efforts significantly reduced costs and

improved product quality. Simultaneously, the company pursued green certifications and localized marketing efforts to build brand recognition, attracting environmentally conscious clients. Over three years, these initiatives enabled EcoForge to expand into new markets, secure partnerships with leading developers, and increase its revenue by 40%.

By integrating market analysis, operational improvements, and a focus on cost efficiency, EcoForge transitioned from a struggling startup to a leader in sustainable building materials, setting a benchmark for innovation and environmental stewardship in the industry.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

- (i) The SBU model adopted by EcoForge is an example of strategic decision-making at which level?
 - (a) Corporate Level
 - (b) Business Level
 - (c) Functional Level
 - (d) Operational Level

(2 Marks)
- (ii) EcoForge's strategy of appealing to environmentally conscious builders and developers by emphasizing its eco-friendly materials is an example of which type of generic strategy by Michael Porter?
 - (a) Cost Leadership
 - (b) Differentiation
 - (c) Focussed Cost Leadership
 - (d) Focussed Differentiation

(2 Marks)
- (iii) The case mentions EcoForge identifying "critical influence of regulatory policies and socio-cultural factors shaping consumer preferences." Which strategic analysis framework is most relevant here?
 - (a) SWOT Analysis
 - (b) Value Chain Analysis
 - (c) PESTLE Analysis
 - (d) Ansoff's Matrix

(2 Marks)
- (iv) EcoForge's strategy to deepen its presence in existing markets and explore new ones corresponds to which growth strategy in Ansoff's Matrix?
 - (a) Market Penetration
 - (b) Market Development
 - (c) Product Development
 - (d) Diversification

(2 Marks)

- (v) Which key industry force, as per Porter's Five Forces, is reflected in EcoForge's challenges from cheaper alternatives and intense competition?
- (a) Threat of New Entrants
 - (b) Bargaining Power of Suppliers
 - (c) Bargaining Power of Buyers
 - (d) Threat of Substitutes
- (2 Marks)**

(B) Compulsory Application Based Independent MCQs

- (i) The CEO of GoFlyHigh Airlines has built a high-performance team over five years by closely monitoring performance metrics, setting clear expectations, and motivating employees through rewards and structured improvement plans. Her disciplined and results-focused approach has driven organizational success by fostering accountability and maintaining high standards. This leadership style emphasizes achieving defined goals through a structured framework, balancing performance recognition with corrective measures for sustained excellence. What strategic leadership style does the CEO exhibit?
- (a) Entrepreneur Leadership
 - (b) Transformational Leadership
 - (c) Transactional Leadership
 - (d) Intrapreneur Leadership
- (2 Marks)**
- (ii) UN&T reached out to Mukesh S, an entrepreneur from India to get his team to work on a mega solar energy project and enter India's deccan plateau which enjoys an abundance of sunshine. What strategy is UN&T trying to implement?
- (a) Market Penetration
 - (b) Market Development
 - (c) Strategic Alliance
 - (d) Diversification
- (2 Marks)**
- (iii) Urbankey has a unique capability in rapid prototyping, allowing them to bring new products to market faster than the competitors. Such an advantage can be termed as?
- (a) Market Expansion Strategy
 - (b) Core Competency
 - (c) Cost Leadership Strategy
 - (d) Appropriate SWOT Analysis
- (1 Mark)**

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

Attempt any **two** questions out of the remaining **three** questions.

1.
 - (a) *Chic Threads*, a boutique fashion brand renowned for its commitment to sustainability and ethical practices, has recently launched a new line of eco-friendly clothing made from recycled materials. The brand recognizes the growing influence of environmentally conscious consumers who actively shape industry standards through their advocacy and purchasing decisions. These consumers align with *Chic Threads'* values and have a significant impact on its market position and reputation. How should *Chic Threads* effectively manage its relationship with environmentally conscious consumers, considering their high power and high interest in shaping the brand's success? **(5 Marks)**
 - (b) You are a strategic manager for a tech company launching a new smartphone model. The company wants to target tech-savvy consumers who value innovation and cutting-edge technology. Using the concept of customer behavior, develop a marketing strategy to promote the new smartphone. **(5 Marks)**
 - (c) *GreenEdge Solutions*, a mid-sized technology company, has implemented a new strategic plan focused on achieving sustainable growth and strengthening its market presence. The leadership team is determined to monitor the effectiveness of their strategies to ensure they align with the organization's overall goals and objectives. They seek a systematic approach to assess key performance areas critical to their success. What are Strategic Performance Measures (SPM), and how can *GreenEdge Solutions* effectively use them to evaluate and enhance the success of their strategic plan? **(5 Marks)**
2.
 - (a) *Connect Group* was one of the leading makers of the mobile handsets till a few years ago and which went at the bottom of the heap. *Connect Group* didn't adapt to the current market trends, which eventually led to its downfall. Which would have helped *Connect Group* to change, adapt and survive? Explain the steps to initiate the change. **(5 Marks)**
 - (b) Define strategic management. Also discuss the limitations of strategic management. **(5 Marks)**
3.
 - (a) *Easy Access* is a marketing services company providing consultancy to a range of business clients. *Easy Access* and its rivals have managed to persuade the Government to require all marketing services companies to complete a time-consuming and bureaucratic registration process and to comply with an industry code of conduct. Do you think that by doing this *Easy Access* and its rivals has an advantage in some ways to fight off competitors? Explain. **(5 Marks)**
 - (b) Explain in brief the various basis of differentiation strategies. **(5 Marks)**

4. (a) *Leatherite Ltd.* was started as a leather company to manufacture footwear. Currently, they are in the manufacturing of footwears for males and females. The top management desires to expand the business in leather manufacturing goods. To expand they decided to purchase more machines to manufacture leather bags for males and females. Identify and explain the strategy opted by the top management of *Leatherite Ltd.*

(5 Marks)

- (b) Major core competencies are identified in three areas - competitor differentiation, customer value and application to other markets. Discuss.

OR

Differentiation between Strategic Planning and Operational Planning.

(5 Marks)